

Investment Brief: CFPB Complaint Velocity as a Financial-Sector Smoke Detector

Companion to the technical note · Michael Miele · July 18, 2026 · github.com/michaelmiele07/alt-data-cfpb-complaints

The idea in one paragraph

Every consumer complaint filed with the CFPB against a financial company is public, timestamped, and named. When a lender's operations break — a botched servicing migration, a fee scheme, a fraud-handling failure — customers complain *before* the damage shows up in earnings, reserves, or an enforcement headline. Tracking each company's complaint velocity against its own history turns 17 million filings into a company-level operational-stress monitor that updates monthly and costs nothing.

Why it should work (and where it actually does)

The CFPB itself mines this database to pick enforcement targets, so complaint spikes and regulatory risk are mechanically linked. Historically the link is tight: Block and Capital One spiked to all-time records in the exact month the CFPB sued each (Jan 2025), Navient in the month of its 2017 suit, Wells Fargo around its \$3.7B settlement. Honest boundary: the pre-committed cross-sectional return test is a **null** ($p=0.82$) — a naive monthly long-short on complaint growth does not pay, because the biggest spikes coincide with already-public news. The value is in *monitoring*, not mechanical ranking.

Companies this touches

Credit bureaus	EFX, TRU, EXPGY — highest complaint volume; signal diluted by credit-repair templates (segmented out)
Money-center banks	JPM, BAC, WFC, C, USB, PNC, TFC, GS (consumer arm)
Cards & consumer credit	COF (now incl. Discover), SYF, AXP, BFH
Fintech / payments	XYZ (Block/Cash App), PYPL, AFRM, SOFI, CHYM, HOOD, COIN
Subprime lenders	OMF, CACC, ENVA, OPRT, WRLD, RM
Debt collectors	ECPG, PRAA — complaint flow is their core operating externality
Servicers	RKT (incl. Mr. Cooper), RITM (Shellpoint), NNI

The investment angle

Use it as a risk overlay and event monitor, not a standalone alpha signal. (1) **Short-side / avoid-list confirmation:** a sustained multi-month complaint build (not a one-month January blip) raises the probability of enforcement, remediation costs, and reserve builds — check any consumer-finance long against it. (2) **Event anticipation:** slower complaint builds that *precede* publicity are the leading component; the current watchlist is **AFRM and COF (June 2026, $z \approx 2.4\text{--}2.5$ on record volume)** — pre-registered check: escalation or reversion by January 2027. (3) **Diligence artifact:** for any servicer/fintech position, the per-company complaint mix (fees vs fraud vs servicing) reads like a free operational audit. Watch the artifacts: Rocket's 2026 spike is Mr. Cooper migration mechanics, not decay.

Risks and honest caveats

Complaint spikes are partly reactive to news (confirmation, not prediction); January is seasonally heavy; company attribution shifts with M&A; the CFPB's own political fortunes could change intake behavior (volumes are at records through June 2026, so intake is currently healthy). Nothing here is investment advice — it is a monitoring framework with its limits measured and stated.

Data: CFPB public complaint database (public domain), 2011–June 2026. Methodology, validation, and the null result are in the technical note ([out/cfpb_complaint_velocity_note.pdf](#)).